

IOUBI - Frequently Asked Questions

1. Fundamentals & The Deltar Currency

What is a Deltar, and how is its value set?

The Deltar is a zero-interest unit of economic account representing a proxy for human time. Rather than being pegged to an arbitrary gold standard or fiat decree, the global purchasing value of the Deltar is anchored by averaging everyone's collective psychological conversion rate of what they value their personal labor time at. While prices of goods remain standardized globally (e.g., a loaf of bread costs 2 Deltars), individuals decide how much of their own time it takes to earn those two Deltars.

Why don't prices constantly inflate like in today's economy?

In today's system, money is created as bank debt carrying compound interest, creating a 40% hidden overhead built into all retail prices. IOUBI eliminates compound interest completely. Furthermore, currency is only created when an individual or business overdrafts to clear trade, and it is permanently destroyed when debt is repaid back to the system. Without interest drag or unbacked currency floods, prices naturally trend down toward their true productive cost.

2. Personal Credit & The Credit Overuse Valve

How is my Personal Credit Limit (PCL) calculated?

Your PCL is calculated dynamically every day based on four core factors:

1. **Inequality Base Floor:** Automatically expands for everyone if global wealth concentrates at the top.
2. **Regional Living Index:** Adjusts for local cost-of-living differences.
3. **90-Day Balance Trend:** Rewards consistent, healthy account management.
4. **Daily Transaction Velocity:** Reflects your active participation in the real economy.

What prevents someone from maxing out their credit and abusing the system?

Your 90-day balance trend is the most sensitive lever in your PCL calculation. If you max out your credit line to buy luxury assets (like three homes) and your balance trend drops, your PCL will automatically shrink.

If your negative balance drops below your new, lower PCL limit, **your account spending is instantly frozen**. You keep full ownership of your assets (no foreclosures or repo men), but you cannot spend a single Deltar until your daily UBI dividend and income restore your balance above your credit floor. Short-term credit abuse paralyzes your daily liquidity.

3. Business Funding & Social Credit (SCL)

How do businesses get funding without investors or bank loans?

Businesses do not receive a daily UBI dividend or an automated credit limit. Instead, they raise **Social Credit Limit (SCL)** donations from everyday citizens. Citizens accumulate unspent SCL daily based on their personal credit status which they can only give to local enterprises, raising the business's zero-interest overdraft ceiling.

What stops a wealthy donor from controlling a business through massive credit gifts?

All SCL crowdfunding campaigns enforce two strict rules:

- **25-Donor Minimum:** A campaign requires at least 25 distinct human supporters to be valid.
- **4x Anti-Whale Rule:** The largest single SCL donation in a campaign cannot exceed 4 times the smallest donation.

Even a billionaire cannot dominate a business's credit line—enterprise funding requires genuine community consensus.

Why do businesses need to run quarterly crowdfunding campaigns?

All donated SCL decays by **25% every 3 months** (100% annual expiration). This forces businesses to continuously deliver real value, quality goods, and trust. This allows them to earn renewed SCL from the community and maintain the credit they still need.

4. Safety Nets, Governance & The Fee Pool

How are UBI, healthcare, and public services funded without income taxes?

A single, microscopic **1.4% average fee** is collected across all daily transaction velocity. This single fee replaces income tax, sales tax, corporate tax, credit card swipe fees, and government debt.

Every midnight, 100% of collected fees are split into three pools:

- **75% UBI Dividend Pool:** Distributed equally to all human accounts as a daily cash living floor.
- **20% Social Pool:** Funds community grants and universal insurance for all needs.
- **5% Government Pool:** Direct-allocated by citizens to fund public administration, regulation, and enforcement.

Who approves healthcare claims and community grants?

Claims are reviewed on a private platform by a randomly selected, volunteer jury of everyday peers serving a single shift. Once a claim is approved by consensus, automated payments begin immediately to keep velocity moving.

How do the 75 / 20 / 5 pool percentages change?

Members can adjust their desired pool split daily after seeing the Social jury's recommendations. These votes are averaged from all members to nudge daily changes. To prevent economic shocks, votes can only shift pool allocations by a maximum rate of **0.001% per day**. A complete 1% shift requires 1,000 days of unanimous global consensus.

5. Real-World Applications & Housing

How does housing work under IOUBI?

Regardless of your balance, earning and saving both raise your overdraft credit limit. To buy large items like a home, just keep that limit higher than your negative balance as you repay it. Because corporate landlords and institutional investors must extract high profit margins and pay interest, they cannot compete with zero-interest homeownership. Housing shifts from a speculative financial asset back to something used by its owner.

What happens when AI and automation eliminate traditional jobs?

Under IOUBI, automation is a blessing, not a threat. As AI drives production costs toward zero, goods become cheaper because of pure prices and competition. As money velocity increases, the transaction fee continues rising toward fully funding the cost of living. Money ceases to be a scarce survival token and becomes like **rainwater in a garden**—an abundant tool used simply to connect human demand with automated abundance.